

higher prices.

... The same concept applies in the stock market.”

Companies that are more durable are more valuable. And moats make companies durable by keeping competitors out. A company with a moat can sustain high returns for longer than one without. That also means it can reinvest those profits at higher rates than competitors. As you’ve seen by now, this is an important part of the 100-bagger recipe.

Moats take various forms. Here are some:

- *You have a strong brand.* Tiffany’s has a moat. People pay up just to get that blue box, even though what is in the box might be had somewhere else for less. Oreo is a brand. It may not allow for premium prices, but it inspires loyalty and ensures recurring customers. That’s a moat.
- *It costs a lot to switch.* Dorsey has a great example where he talks about banks. There is not much of a competitive advantage that one bank can have over any other. They all have the same products. And with the Internet, branch locations are not even very important. Yet when you look at the numbers, people tend to stay at their banks for six to seven years. The reason is it’s a pain in the neck to change banks. As economists say, “switching costs” are high. That’s a moat.
- *You enjoy network effects.* Microsoft had a great moat for years. Everybody used its operating system. And so you wanted to use its operating system too. The more people who use these products, the more they enjoy network effects. Think of Twitter, Facebook and YouTube. It’s very hard for competitors to crack a network moat. It’s like trying to sell the first telephone.
- *You do something cheaper than everybody else.* If you are the low-cost guy, like Walmart, you have a moat. Interactive Brokers is cheaper than every other discount broker, and it’s not even close. And that partly explains why it’s growing twice as fast as its competitors. That’s a moat.
- *You are the biggest.* This gets to some inherent advantages of size. Absolute bigness can be an advantage if it keeps competitors out. Imagine what it would take to try to replicate